Semi - fixed / Semi - variable / Mixed costs

These costs vary with the volume of sales, but not proportionately. They have both fixed and variable components. Telephone expenses, fuel costs, laundry, cost of cleaning materials fall under this category.

2.4.4 Break-Even Point

Break-even point can be defined as a point where total costs and total sales are equal. It indicates the point where there is neither profit nor loss. The establishment just 'breaks even'. The target of calculating the break-even point is to find out the minimum production of units that must be exceeded for an establishment to be profitable. Break-even point is reached when,

Sales = Labour + overhead + food costs

To calculate cost of each menu

- List all ingredients required to prepare each dish.
- Obtain the prices of all ingredients from invoice.
- Calculate the food cost.
- Fix the selling price for the product.

A certain percentage of gross profit / kitchen profit is added to the food cost of each dish in order to determine the selling price. Constant surveillance must be kept on the food cost. If the food cost percentage shows unusual variance, this could be investigated and immediate corrective action should be taken.

Ways of controlling cost

- All purchase must be controlled.
- Details of all merchandise received must be recorded, as and when issued.
- Production-ingredient amount must be checked before preparation.
- Any overproduction of food must be checked and if possible, reuse in the best and most economical way
- Check the sales.
- An efficient system of cash control must be maintained.
- Total daily wage cost must be recorded.
- A weekly summary of all the relevant details must be prepared.
- Profit and loss account of the food service operation should be prepared.



Gross profit = Sales – Food cost

Net profit = Sales – (Food cost + labour cost + overhead cost)

Selling Price = Food cost (40%) + labour cost (10%) + Overhead cost (10%) + Profit (40%)

2.5 Utilization of Leftovers

The thought of leftover food makes everyone associate with staleness, unwholesomeness, digestive difficulty and unsound nutrition. Leftover food can be thought of positively if they are stored as ingredients at the right temperature for a short period of time.

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